Rupee as a Digital Currency

Several central banks are working on a potential digital currency. China's central bank has been experimenting with digital renminbi and trials of such a digital currency have been conducted in a number of identified cities in the country. The use of this digital currency has been limited only to domestic use and not for international payments.

In India, a committee set up by the Ministry of Finance recommended a draft legislation for dealing with private cryptocurrencies in 2019. It also recommended exploration of the idea of a 'digital rupee'. The government, despite notifying Parliament of its intention to bring a bill for laying down the framework for digital currency twice in 2021, has not done so until December 2021.

While digital currency has not seen the light of day in India, digital payments have become quite mainstream. Let's be clear, however, that that we are discussing a digital rupee, not digital payments in this section. A digital rupee would replace the physical paper rupee as currency. That would happen gradually over decades. Still, just as coins continue to be used for making some payments, the paper rupee would continue to be used to make some payments and all payments by some. And like coins are convertible into paper rupees, the paper rupees should be and would be convertible into digital rupees and vice-versa.

Digital currency is indeed the future as the paper rupee system has innumerable problems.

Transactions require parties to come into contact. Rupee notes cannot be carried in large value as the largest note still in circulation is Rs 2000. You have to keep notes of several denominations to make exact payments. For making a payment of Rs 156, you need a Rs 100, Rs 50, Rs 5 and Re 1 note. As Re 1 notes are not commonly available, you have to use a coin. Carrying fifteen to twenty notes and a few coins in your wallet or pocket is irksome.